

returned better in the past but replication of such results into the future is not a given. There are several factors that can go wrong in the future – the least of which is predicting future performance with hindsight bias.

“Two-thirds of professionally managed funds are regularly outperformed by a capitalization-weighted index fund, and those that do appear to produce excess returns in one period are not likely to do so in the next. The record of professionals does not suggest that sufficient predictability exists in the stock market to produce exploitable arbitrage opportunities.”

- Burton G. Malkiel, *A Random Walk down Wall Street*

Even though Burton Malkiel was writing with respect to US markets, there seems to be some exploitable opportunities in the Indian markets due to certain inefficiencies. Some Fund managers have performed better in the long term but identifying them and sticking with them becomes tough when they have a few underwhelming years. Instead of analysing a fund's performance and churning them at regular intervals, the Junior 50 fund will outperform $\frac{2}{3}$ of competition over any timescale. Over the long-term, what makes a big difference to our investing corpus is the '**amount invested**' and the amount alone. If you were investing small amounts, any high returns (CAGR) from any fund, won't be a significant marker.

When fund expenses are low as is the case with ICICI Jr 50, we can keep ploughing irrespective of how the market is doing. Life's wonderful if we '*Keep calm and 80-20!*'



Right now, you are an investor and have started to do things that you thought only the Rich do. As you progress, you can outperform the Rich by being a retail investor with a regular income.

This concludes our 5-week plan to help you live the Rich Life. You've learnt to find the things that make you feel sexy, allocated resources from your monthly salary based on Conscious spending plan, automated bill payments and also automated savings and investments. Along the way,